

BEFORE THE FEDERAL MARITIME COMMISSION

DOCKET NO.: 25-11

PHILLIP MARCIANO LLC
Complainant,

v.

US CARGO SERVICES INC.
Respondent

REPLY BRIEF TO RESPONDENT’S BRIEF DATED SEPTEMBER 22, 2025

JASON J. REBHUN, being duly admitted to practice law in the states and federal courts of New York and New Jersey, affirms the following under the penalties of perjury:

1. I am counsel to the Complainant Phillip Marciano LLC (“Complainant”) in this matter. As such, I am fully familiar with the facts and circumstances herein.
2. I submit this reply Brief in response to Respondent’s September 22, 2025 Brief (“Respondent’s Brief”) submitted in accordance with the August 26, 2025 Order that sought additional information from the parties to aid the Commission in rendering a decision to Respondent’s pending motion to dismiss..
3. Respondent’s Brief is the most current example of its ongoing contradictory representations and deflection of liability. Respondent, for the first time in this matter, now alleges that third-party Maple Consolidation (in addition to Tausif Hassan/his entities) is actually the party to blame after briefly mentioning Maple Consolidation as the issuer of one of the three relevant Bills of Lading within its motion to dismiss. Like Respondent’s previous submissions to the Commission, Respondent is attempting to maintain its tenuous position that it was not involved

with the Subject Shipments.¹ However, Respondent's position is a blatant misrepresentation and intended to mislead if not misdirect from its own liability. As demonstrated below and highlighted by communications from Tausif Hassan ("Hassan"), Respondent cannot escape its involvement in this matter and is certainly not entitled to dismissal of this case.

4. Nothing in the Respondent's Brief addresses the Commission's concerns in the August 26, 2025 Order, nor does its brief overcome the allegations in the Complaint. If anything, Respondent's Brief creates more unanswered questions further underscoring the denial of its motion so that this matter can proceed to discovery.
5. Respondent finally admits that it did have a role regarding the Subject Shipments after having taken the opposite approach in its motion to dismiss (previously claiming that it was not involved at all or only involved as an arm to Hassan and his entities).
6. As to the specific points that Complainant is asked to address, Respondent concedes that it is a Non-Vessel-Operating Common Carrier ("NVOCC") as defined by the Shipping Act of 1984 (the "Shipping Act"), satisfying the first element of section 41102(c).
7. Respondent also concedes that: (i) it received and was in possession of Complainant's goods; (ii) it released Complainant's goods at Hassan's direction; and (iii) it has a relationship with Hassan. Despite these admissions which implicate US Cargo (as Complainant has alleged since it's the filing of its Complaint), Respondent argues that because it did not have a contractual/commercial relationship directly with Complainant and only with Hassan whom Respondent claims was acting on the parties' behalf, Respondent cannot be held liable. That is unavailing.

¹ The "Subject Shipment" are the shipments governed by the three Bills of Lading annexed to the Complaint as Exhibit 1 and referred therein as the "Cargo."

8. Pursuant to Complainant's Brief, the Complaint sufficiently alleges each of the elements of Section 41102(c). Section 41102(c) does not require an existing contractual or commercial relationship between the Complainant and Respondent. The purpose of the Shipping Act is to hold those governed by the Shipping Act accountable for violations thereof. That is what Complainant seeks here and separately seeks damages in its pending District Court Action under case number 25-cv-11944 (the "District Court Action").
9. Respondent first alleges at ¶2 of Respondent's Brief that: "in the transactions at issue, Respondent acted solely in the capacity of a freight forwarder and delivery agent at destination, not as a contracting carrier with Complainant."
10. Respondent continues stating that: "Delivery instructions were controlled entirely by the booking party, Mr. Tausif Hassan of D&T Apparel/Deal Zone, and the overseas forwarder Maple Consolidation." *See* Respondent's Brief at ¶ 6. Even if true (an issue for discovery), the questionable relevance to Complainant's goods notwithstanding, whatever the delivery instructions may have been, Respondent cannot escape its involvement in this matter nor be entitled to dismissal of this action, at this juncture, without the benefit of discovery.
11. In an attempt to then undermine the second element of Section 41102(c), Respondent then touches on its relationship with Tausif Hassan, stating that: "Respondent's limited relationship to Mr. Hassan was only by virtue of Maple Consolidation's designation of him as the booking party. Respondent was bound to follow the instructions of the booking party and overseas agent." *See* Respondent's Brief at ¶ 11. This claim is not only undermined by Respondent's previous submissions and allegation of its commercial relationship with Hassan but undermined by Hassan's representations as stated within the Hassan Email and Text Messages (annexed to the Complainant's Opposition to Respondent's motion to dismiss).

12. As an aside, Maple Consolidation, whose stamp appears on one of the three subject Bills of Lading, clearly indicates itself as an agent of *Respondent US Cargo*, not the other way around.
13. Whether or not: (1) Respondent has a direct commercial relationship with Complainant; or (2) Hassan is an exclusive agent of Respondent, Respondent cannot overcome the allegations in the Complaint which properly allege a violation of the Shipping Act, which Respondent admits applies to it.
14. Essentially, Respondent incredibly argues that although it was responsible for accepting Complainant's goods at the destination port and forwarding delivery to the owner/consignee (actions that are protected by the Shipping Act) (though shipments were not made to Complainant), Respondent cannot be held to have violated the Shipping Act because it acted at Hassan's direction. Respondent's argument is unavailing and defeats the purpose of the Shipping Act (not to mention the slippery slope the argument creates).
15. Since Complainant's submission of its brief on September 18, 2025 and continuing during the government shutdown, our office engaged with Hassan (individually, on behalf of his entities D&T Apparels Inc. and Deal Zone Co. Inc., and according to his representations, Respondent) in extensive discussions towards resolution of these claims and those in the District Court Action.
16. As alleged in both cases, Hassan and US Cargo have continued to refuse delivery of the Subject Shipments due to a claim that Complainant owed Hassan and/or US Cargo an undetermined sum of money unrelated to the Subject Shipments and others that accrued under an alleged "running account" that Complainant had with Hassan.

17. During our discussions with Hassan (which include settlement negotiations), Hassan doubled down on the unrelated claimed past-due balance and claimed that the money is owed to Respondent US Cargo.
18. In fact, Hassan claimed in an August 14, 2025 email that “invoices related to US Cargo” total “\$304,127.91 and \$14,250.00” which is apparently what prompted the refusal to complete delivery of the Subject Shipments. **Exhibit 1** (“Hassan Email”).
19. In fact, prior to the filing of this case, Hassan prepared a “Debt Repayment Agreement” that was suggested to Complainant which claimed that US Cargo Services Inc. (a named “partial beneficiary”) is owed money relating to the Subject Shipments (which have still not been delivered). See **Exhibit 2**. As Hassan’s drafted document confirms, payment was to be made directly to Respondent (and not Hassan, D&T Apparels or Deal Zone Co. Inc.) which all but cements Respondent’s inescapable involvement in this matter.
20. Again and briefly, Respondent incredibly claims that it is not involved with the Subject Shipments but that cannot be true given the statements it makes, the Hassan Email and admissions contained in the Hassan Letter and Text Messages, and the likely fact that Respondent is still in possession of the Subject Shipments (or otherwise delivered it to a location it has knowledge of). Complainant is confident that this Commission can see right through the façade painted by Respondent, no matter where it points so as not to be held responsible and liable.
21. Respondent is attempting to distract and mislead the Commission to its unquestioned involvement by attempting to “point the finger” at Hassan (and his entities) and now its agent, Maple Consolidation.

22. Respondent's brief is undermined by: (1) its admission that it is an NVOCC which confirms that its actions are subject to the Shipping Act; (2) its admission that it *does* work closely with Hassan and his entities; (3) its admission that it was engaged to receive and forward Complainant's goods at port; (4) it did receive such goods and then claimed to have released the goods to Hassan at Hassan's direction; (5) its failure to deliver the goods to Complainant; and (6) the representations made by Hassan in his Letter, Text Messages and Email which collectively establish Respondent involvement and a claimed amount of money owed to it.
23. Respondent admits that while acting as an NVOCC, it received the Subject Shipments and then released and delivered them to someone not Complainant (at Hassan's direction). This is a stark contrast to Respondent's initial position claiming that it was only partially involved with one of the three Subject Shipments, acting solely at Hassan's direction. This too is unavailing.
24. Hassan claims that Respondent US Cargo is owed a sizeable balance of \$304,127.91 stemming from its status as an NOVCC/ocean transportation intermediary for Complainant's shipments. Again, as alleged in the Amended Complaint in the District Court Action, US Cargo was engaged as freight forwarder for the Subject Shipments and two additional containers of goods that post-date the Subject Shipments. Respondent has not submitted any evidence that "utterly defeats" Complainant's allegations because its involvement is inescapable, just as Complainant having not received the Subject Shipments. Complainant has met the pleading requirement(s) to assert a claim against Respondent and its actual involvement and ultimate role herein remains an issue for discovery.
25. Thus, Respondent's argument that the alleged conduct was not "continuous or customary" but a "one-off dispute" (§ 18 of Respondent's Brief) is unsupported and too self-serving to be

considered dispositive without evidentiary support, notwithstanding the exhibits and documentary support furnished by Complainant.

26. Additionally, Respondent's argument that it "acted reasonably in following instructions of the overseas booking party and did not impose unjust practice" is subject and belied by Complainant's claims. That Hassan drafted a document which directed considerable money be paid to Respondent further undermines Respondent's position and highlights the gamesmanship and scheme perpetrated by Hassan, Respondent's agent.
27. Finally, the argument that any loss is proximately caused by Hassan (through his entities D&T Apparel and Deal Zone Co.) is equally unavailing. Hassan and US Cargo have continued to deflect by interchangeably pointing the finger at each other as the "real" liable party. But Hassan and Respondent have been working together, and together they have forced Complainant to face some unverified balance (which is likely not even due) before its goods will be delivered, underscoring a clear violation of the Shipping Act.
28. Respondent's final argument contained in its brief argues that this Complaint is an example of duplicative litigation or claim splitting given the pending District Court Action. That argument also fails and is belied by case law which expressly permits concomitant claims before this Commission and in the District Court.
29. This action seeks to hold Respondent, an admitted licensed NVOCC which acted as an ocean freight forwarder for the Subject Shipments, accountable for improper practices that have violated the Shipping Act.
30. The pending District Court Action is against Respondent and Hassan's entities (D&T Apparels Inc. and Deal Zone Co. Inc.) which seeks damages suffered by Complainant as a result of the aforementioned scheme.

31. Thus, both actions seek wholly different relief. This action seeks to highlight Respondent's violations of the Shipping Act which the Commission has the exclusive jurisdiction to enforce. The District Court Action seeks to make Complainant whole for damages it sustained as a result of Hassan's and Respondent's scheme.
32. Accordingly, the Commission has jurisdiction to hear this dispute. This Complaint should survive dismissal and parties be directed to complete discovery on the matter (if not to schedule a settlement conference given the time sensitivity involving the subject goods).
33. For the foregoing reasons, it is respectfully requested that the Commission deny Respondent's motion to dismiss in its entirety given that the Complaint properly pleads its allegations against Respondent. Discovery is necessary to: (1) properly understand the true relationship between Respondent and Hassan; (2) fully understand Respondent's actual role in regard to the subject shipments; and (3) uncover where Complainant's goods were diverted to and currently located.

Dated: New York, New York
November 18, 2025

Yours, etc.

Jason J. Rebhun

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